



Executive Summary

PowerCo churn
update

Recommended Solution

- Prioritise retention pilots for high-risk SME customers with high commercial value rather than broad price discounts.
- Improve churn recall before operational rollout, then test targeted offers.

Situation

- PowerCo is investigating SME churn and whether price sensitivity is the primary driver.
- Churn is material: 1,419 of 14,606 customers churned, about 9.7% of the customer base.

Complication

- The Random Forest reached 90.3% accuracy, but only 5.5% recall for churners: 20 of 366 churners detected in the test set.
- Top predictive features were consumption, margins, meter rent, power and tenure/activity; price-related features were not in the top 10.

Question

- How can PowerCo improve early churn detection and target retention spend without over-discounting customers unlikely to churn?